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King Slide Works Co. Ltd. | Asia Pacific

Preliminary August Profit and September Monthly Sales (-31% MoM/+196% YoY)

Sentiment to stay soft in near term but 2027 outlook is promising.

King Slide announced its preliminary profit for August, per TWSE regulatory requirements:

- Revenue was NT\$6,466mn (+1% MoM/+344% YoY), 33% of our estimate for 3Q26 of NT\$19,555mn (+81% QoQ/+348% YoY) and 39% of consensus' NT\$16,755mn (+55% QoQ/+284% YoY).
- Pretax income was NT\$4,826mn (+216% YoY; pretax margin at 74.6%), 29% of our 3Q26 pretax income estimate of NT\$16,377mn (margin at 83.7%) and 34% of consensus' NT\$14,094mn (margin at 84.1%).
- Net income was NT\$3,819mn (+212% YoY; EPS NT\$40.07; NPM 59.1%), 30% of our 3Q26 net income estimate of NT\$12,938mn (EPS NT\$135.76; NPM 66.2%) and 34% consensus' NT\$11,118mn (EPS NT\$114.38; NPM 66.4%).

September monthly sales

- September sales of NT\$4,464mn (-31% MoM/+196% YoY), driving 3Q26 revenue to NT\$17,338mn (+60% QoQ/+297% YoY), were short of our estimate of NT\$19,555mn (+81% QoQ/+348% YoY) and but ahead of the consensus forecast of NT\$16,755mn (+55% QoQ/+284% YoY).

Our view:

- We think the sequential decline in September revenue was driven by slower momentum for some projects, which entered the later part of their product cycles. While sentiment should stay soft in the near term, we think the outlook into 2027 is still promising as customers start new product cycles.
- We maintain our view that King Slide's competitiveness in the comprehensive patent portfolio and strong execution are entrenched and accentuated amid fast generation migration in AI applications.
- Stay OW with PT of NT\$15,000 (30x 2027e P/E).

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King Slide Works Co. Ltd. (2059.TW, 2059 TT)

Greater China Technology Hardware | Taiwan

Stock Rating	Overweight
Industry View	In-Line
Price target	NT\$15,000.00
Up/downside to price target (%)	15
Shr price, close (Oct 6, 2026)	NT\$13,100.00
52-Week Range	NT\$15,085.00-2,875.00
Sh out, dil, curr (mn)	95
Mkt cap, curr (mn)	NT\$1,248,392
EV, curr (mn)	NT\$1,224,690
Avg daily trading value (mn)	NT\$4,468

Fiscal Year Ending	12/25	12/26e	12/27e	12/28e
EPS (NT\$)**	103.23	382.77	502.77	559.77
Prior EPS (NT\$)**	-	-	-	-
EPS (NT\$)§	100.25	343.67	499.35	574.20
Revenue, net (NT\$ mn)	17,501	55,414	74,250	82,820
EBITDA (NT\$ mn)	12,449	45,194	60,021	67,047
ModelWare net inc (NT\$ mn)	9,837	36,477	47,913	53,345
P/E	36.3	34.2	26.1	23.4
RNOA (%)	216.6	818.3	534.3	549.4
ROE (%)	46.2	130.2	90.9	62.3
EV/EBITDA	26.8	26.7	19.5	17.0
Div yld (%)	0.9	0.9	1.2	1.3
FCF yld ratio (%)**	2.9	2.6	3.8	4.2
Leverage (EOP) (%)	(84.6)	(83.2)	(88.8)	(91.5)

Unless otherwise noted, all metrics are based on Morgan Stanley ModelWare framework

** = Based on consensus methodology

§ = Consensus data is provided by Refinitiv Estimates

e = Morgan Stanley Research estimates

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AlphaSignals Catalyst Event Reaction

Company / Catalyst	Date	Impact to thesis	Catalyst versus expectation
King Slide Works Co. Ltd. 2059.TW			
September 2026 sales	06 Oct 2026	Unchanged	↓ Modest downside surprise
Preliminary August Profit Announcement	06 Oct 2026	Unchanged	↓ Modest downside surprise

Source: Company data, Morgan Stanley Research

Valuation Methodology and Risks

King Slide Works Co. Ltd. (2059.TW)

Base case, 30x 2027e P/E. We use price/earnings as our valuation methodology because we believe it better captures King Slide's earnings growth potential. We believe our target multiple is justified by an operating profit CAGR of 77% seen for 2025-28, implying a PEG of 0.4 vs. the average of 1.2 over 2010-24, when the stock was trading at 17-18x P/E with an operating profit CAGR of 14%.

Risks to Upside

- Stronger-than-expected AI capex
- Stronger server demand
- Faster market share gains

Risks to Downside

- Softer AI capex
- Weaker server demand
- Sluggish kitchen furniture demand
- Competition leading to slower share gains.

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(as of September 30, 2026)

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Stock Rating Category	Coverage Universe		Investment Banking Clients (IBC)			Other Material Investment Services Clients (MISC)	
	Count	% of Total	Count	% of Total IBC	% of Rating Category	Count	% of Total Other MISC
Overweight/Buy	1599	43%	455	48%	28%	783	44%
Equal-weight/Hold	1563	42%	394	42%	25%	763	43%
Not-Rated/Hold	2	0%	1	0%	50%	1	0%
Underweight/Sell	570	15%	96	10%	17%	227	13%
Total	3,734		946			1774	

Data include common stock and ADRs currently assigned ratings. Investment Banking Clients are companies from whom Morgan Stanley received investment banking compensation in the last 12 months. Due to rounding off of decimals, the percentages provided in the "% of total" column may not add up to exactly 100 percent.

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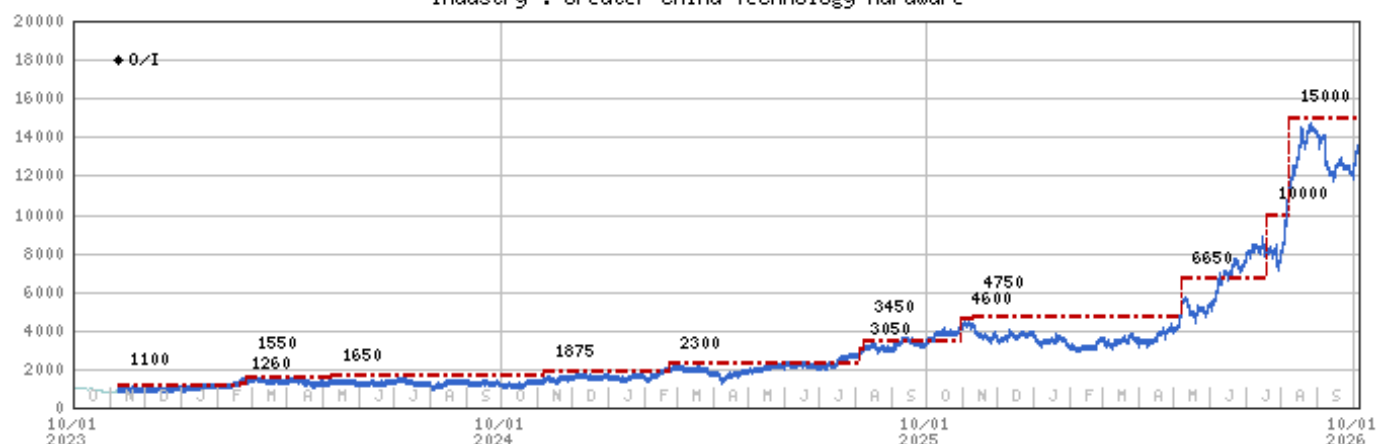
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Stock Price, Price Target and Rating History (See Rating Definitions)

King Slide Works Co. Ltd. (2059.TW) - As of 10/06/26 GMT in TWD
Industry : Greater China Technology Hardware



Stock Rating History: 11/8/23 : O/I

Price Target History: 11/8/23 : 1100; 2/20/24 : 1260; 2/26/24 : 1550; 5/8/24 : 1650; 11/7/24 : 1875; 2/22/25 : 2300; 8/4/25 : 3050; 8/8/25 : 3450; 10/30/25 : 4600; 11/10/25 : 4750; 5/8/26 : 6650; 7/20/26 : 10000; 8/7/26 : 15000

Source: Morgan Stanley Research Date Format : MM/DD/YY Price Target --- No Price Target Assigned (NA)
Stock Price (Not Covered by Current Analyst) — Stock Price (Covered by Current Analyst) —
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INDUSTRY COVERAGE: Greater China Technology Hardware

COMPANY (TICKER)	RATING (AS OF)	PRICE* (10/06/2026)
Andy Meng, CFA		
AAC Technologies Holdings (2018.HK)	O (01/29/2024)	HK\$39.36
Accelink Technologies Co. Ltd. (002281.SZ)	U (05/12/2022)	Rmb164.88
BYD Electronics (0285.HK)	O (04/28/2023)	HK\$23.90
China TransInfo Technology Co Ltd (002373.SZ)	E (07/18/2023)	Rmb7.35
Dahua Technology Co. Ltd. (002236.SZ)	E (12/12/2024)	Rmb15.32
Eoptolink Technology Inc Ltd (300502.SZ)	O (02/27/2026)	Rmb389.00
Genius Electronic Optical Co. Ltd. (3406.TW)	U (09/10/2026)	NT\$1,045.00
GoerTek Inc (002241.SZ)	E (08/14/2026)	Rmb22.79
Gosuncn Technology Group Co Ltd (300098.SZ)	U (11/07/2022)	Rmb4.17
HIKVision Digital Technology (002415.SZ)	E (12/12/2024)	Rmb32.46
Largan Precision (3008.TW)	E (09/10/2026)	NT\$6,855.00
LianChuang Electronic Technology Co Ltd (002036.SZ)	U (06/12/2024)	Rmb5.97
Lingyi Itech Guangdong Co (002600.SZ)	U (04/23/2025)	Rmb11.88
Lingyi Itech Guangdong Co (1688.HK)	O (08/14/2026)	HK\$5.43
Luxshare Precision Industry Co., Ltd. (2475.HK)	O (08/14/2026)	HK\$52.30
Luxshare Precision Industry Co., Ltd. (002475.SZ)	O (10/24/2016)	Rmb49.43
OFILM Group Co Ltd (002456.SZ)	U (06/12/2024)	Rmb6.49
Q Technology (Group) Company Ltd (1478.HK)	U (03/23/2026)	HK\$5.00
Quectel Wireless Solutions Co Ltd (603236.SS)	E (10/09/2024)	Rmb71.35
Shanghai Conant Optical Co Ltd (2276.HK)	O (04/10/2026)	HK\$38.14
Shenzhen Transsion Holdings Co Ltd (688036.SS)	E (03/23/2026)	Rmb53.80
Sunny Optical (2382.HK)	E (03/23/2026)	HK\$64.10
Suzhou TFC Optical Communication Co Ltd. (300394.SZ)	E (11/06/2025)	Rmb260.77
Wingtech Technology Co Ltd (600745.SS)	U (05/18/2026)	Rmb16.43
Xiaomi Corp (1810.HK)	O (04/14/2021)	HK\$24.26

Yangtze Optical Fibre and Cable JSC Ltd (601869.SS)	U (10/13/2021)	Rmb411.16
Yangtze Optical Fibre and Cable JSC Ltd (6869.HK)	O (07/15/2026)	HK\$180.00
Yongxin Optics Co Ltd (603297.SS)	E (11/15/2022)	Rmb106.92
Zhejiang Crystal-Optech Co Ltd (002273.SZ)	O (11/15/2022)	Rmb24.40
Zhongji Innolight Co Ltd (300308.SZ)	O (09/07/2026)	Rmb808.44
Zhongji Innolight Co Ltd (3308.HK)	O (09/07/2026)	HK\$1,079.00
ZTE Corporation (0763.HK)	O (06/04/2026)	HK\$21.80
ZTE Corporation (000063.SZ)	E (06/04/2026)	Rmb30.58
Derrick Yang		
Accton Technology Corporation (2345.TW)	O (06/06/2024)	NT\$2,050.00
Advantech (2395.TW)	O (01/20/2021)	NT\$738.00
AirTAC International (1590.TW)	O (04/16/2025)	NT\$1,195.00
Asia Vital Components Co. Ltd. (3017.TW)	O (07/30/2024)	NT\$3,685.00
AU Optronics (2409.TW)	E (02/10/2026)	NT\$37.45
Auras Technology Co Ltd (3324.TWO)	E (05/04/2023)	NT\$1,530.00
Bizlink (3665.TW)	O (03/10/2025)	NT\$2,325.00
BOE Technology (000725.SZ)	O (09/06/2019)	Rmb5.72
Chenbro (8210.TW)	O (07/23/2025)	NT\$885.00
Chroma Ate Inc. (2360.TW)	O (10/05/2021)	NT\$2,350.00
Delta Electronics Inc. (2308.TW)	O (07/13/2017)	NT\$2,050.00
E Ink Holdings Inc. (8069.TWO)	E (08/10/2026)	NT\$149.00
Ennostar Inc (3714.TW)	U (09/23/2022)	NT\$67.00
Fositek Corp (6805.TW)	O (06/25/2025)	NT\$2,415.00
Hiwin Technologies Corp. (2049.TW)	O (03/30/2026)	NT\$339.50
Innolux (3481.TW)	E (04/07/2025)	NT\$51.10
King Slide Works Co. Ltd. (2059.TW)	O (11/08/2023)	NT\$13,100.00
Lens Technology (300433.SZ)	E (07/22/2020)	Rmb32.31
Lite-On Technology (2301.TW)	E (01/15/2025)	NT\$299.00
TCL Corp. (000100.SZ)	E (04/07/2025)	Rmb4.79
Tianma Microelectronics (000050.SZ)	U (01/24/2018)	Rmb6.31
Wuhan Jingce Electronic Group Co Ltd (300567.SZ)	E (11/26/2021)	Rmb184.03
Howard Kao		
Acer Inc. (2353.TW)	U (04/23/2025)	NT\$31.05
Asustek Computer Inc. (2357.TW)	U (11/16/2025)	NT\$1,000.00
Catcher Technology (2474.TW)	U (11/17/2025)	NT\$206.00
Compal Electronics (2324.TW)	U (04/23/2025)	NT\$35.90
Elite Material Co. (2383.TW)	O (09/14/2026)	NT\$5,995.00
FIT Hon Teng Ltd (6088.HK)	O (11/03/2025)	HK\$5.02
Foxconn Industrial Internet Co. Ltd. (601138.SS)	O (07/10/2019)	Rmb58.20
Giga-Byte Technology Co. Ltd. (2376.TW)	E (11/16/2025)	NT\$380.00
Gold Circuit Electronics Ltd. (2368.TW)	O (10/06/2022)	NT\$1,260.00
Hon Hai Precision (2317.TW)	O (03/15/2024)	NT\$256.00
Inspur Electronic Information (000977.SZ)	E (08/28/2023)	Rmb65.93
Kingboard Laminates Holdings Ltd. (1888.HK)	O (09/14/2026)	HK\$55.10
LandMark Optoelectronics Corporation (3081.TWO)	E (03/26/2026)	NT\$2,920.00
Lenovo (0992.HK)	O (07/10/2026)	HK\$35.40
Lotes Co. Ltd. (3533.TW)	E (05/12/2025)	NT\$1,865.00
Nan Ya PCB (8046.TW)	O (02/23/2026)	NT\$1,505.00
Pegatron Corporation (4938.TW)	E (03/25/2026)	NT\$90.00
Quanta Computer Inc. (2382.TW)	O (05/01/2023)	NT\$333.50
Shengyi Technology Co Ltd. (600183.SS)	E (05/26/2022)	Rmb129.96
Shennan Circuits Co Ltd (002916.SZ)	E (08/24/2023)	Rmb373.01
Unimicron (3037.TW)	O (02/23/2026)	NT\$1,310.00
Visual Photonics Epitaxy Co Ltd (2455.TW)	E (09/11/2023)	NT\$567.00
Wistron Corporation (3231.TW)	O (07/12/2023)	NT\$189.50

Wiwynn Corp (6669.TW)	O (11/10/2025)	NT\$2,290.00
Yageo Corp. (2327.TW)	O (10/28/2025)	NT\$625.00
Zhen Ding (4958.TW)	++	NT\$574.00
Irene Yen		
Co-Tech Development Corp. (8358.TWO)	O (09/14/2026)	NT\$551.00
Taiwan Union Technology Corporation (6274.TWO)	O (09/14/2026)	NT\$1,755.00

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* Historical prices are not split adjusted.